

TRADE REVIEW

Ryan Green

Name: EchoStar Corp (SATS)

Entry: Dec 2025

Style: Event-Driven / Fundamental Catalyst

Risk: ~1%

Setup

This is a fundamental catalyst trade, not a relative strength or technical setup. SATS is the only liquid public proxy for SpaceX exposure. A confirmed secondary transaction marked SpaceX at an \$800B valuation, which effectively doubled the mark-to-market value of SATS' passive stake in SpaceX.

Despite this, the market was still pricing SATS primarily as a distressed satellite operator. The SpaceX stake and related liquidity were being largely ignored. I saw this as a temporary dislocation that would resolve as sell-side analysts ran sum-of-the-parts models and event-driven capital moved in.

Thesis

The core idea is simple: investors are buying the SpaceX stake at a discount and getting the operating business for free.

Sum-of-the-Parts	Est. Value (\$B)
Cash from Deals (SpaceX + AT&T Divestitures)	\$31.5
SpaceX Equity Stake (Mark-to-Market @ \$800B)	+\$17.0
Total Hard Liquidity / Equity	=\$48.5
Less: Total Debt Load	(\$26.3)
Net Asset Value Floor	\$22.2
Current Market Cap	~\$24.0

On top of the NAV floor, there's a scarcity dynamic. Retail cannot access private SpaceX tenders. SATS is the only door in. As that becomes more widely understood, proxy demand should drive flows into the name.

Execution & Risk

- Entry at **\$82**, buying the breakout on massive relative volume.
- Stop at the low of the bar at **\$74.40**, risking roughly **\$7.60** per share.
- Sized at ~1% account risk.

The stock had been basing for months at the same level where the SpaceX deal was originally announced. The breakout on huge volume confirmed that the market was starting to reprice the name. Risk was defined by the low of the breakout bar.

Management

This is a position trade driven by a fundamental catalyst, so I'm managing it differently than a technical swing.

The trade is currently open. As long as the thesis is intact and the stock holds above the breakout level, there's nothing to do. The catalyst here is not a one-day event — it's a repricing process as sell-side coverage picks up and retail flows chase the only public SpaceX proxy.

I'll reassess if the stock closes back below the breakout level, which would suggest the repricing failed to gain traction.

Why This Trade Is Different

This is not a top-down or technical setup. The edge here is entirely fundamental:

- A hard NAV floor provides downside protection.
- Scarcity value as the only public SpaceX proxy creates behavioral upside skew.
- The market was pricing SATS as a distressed telco while ignoring the embedded equity optionality.

The technical breakout on volume was confirmation, not the reason for the trade.

Key Takeaways

- When a fundamental catalyst materially changes the valuation and the market hasn't caught up, the dislocation is worth acting on.
- Scarcity dynamics in public markets can drive outsized moves when retail has no alternative access to a private asset.
- Risk was still defined by price structure even though the thesis is fundamental. The low of the breakout bar gave a clean stop.
- Position trades driven by catalysts require patience. The repricing process takes time.

Appendix: Price Action



Figure 1: Daily chart showing SATS breaking out of a multi-month base on massive relative volume.

This note reflects an event-driven catalyst trade and is not representative of my default relative strength framework.